sidelined the official draft by sending a note a day earlier in which she asked: ‘This is all right as far as it goes. The question is whether it goes far enough?’[24] Morarji had replied that the objectives of social control and nationalization were the same. P.N. Haksar, Indira’s Principal Secretary advised her to take bold economic measures to ensure her political survival and advocated nationalization. Prof. K.N. Raj, a well-known economist was in favour of nationalization; industrialists G. D. Birla and J.R.D. Tata advised against it.

The RBI Governor, L.K. Jha, who was a strong advocate of social control, was summoned to New Delhi on July 17. According to most accounts, he was not taken into confidence by Indira. Jha who came to the capital armed with a comprehensive note on social control was told by the Prime Minister that he should put his note on her table and go to the next room and help with the drafting of the legislation on bank nationalization.[25] Patel gives us his version of events in his memoirs. Indira sent for him and asked him if banking was under his charge. No one else was present. On his telling her it was, she simply said: ‘For political reasons, it has been decided to nationalize the banks. You have to prepare within 24 hours the bill, a note for the Cabinet and a speech for me to make to the nation on the radio tomorrow evening. Can you do it and make sure there is no leak?’[26] Patel says that it was clear that it was a political decision. It was equally clear that no argument from him was required. While assuring her that her bidding would be done, he mustered up enough courage to make two suggestions: to leave the foreign banks alone and to nationalize only the major ones. Indira immediately agreed, adding that she could trust the details to him.

Patel asked L.K. Jha to come to Delhi immediately without telling him why, since there was no way the Governor of the RBI could be kept out of such a major decision. Patel asked Jha to bring R.K. Seshadari, Executive Director of the RBI with him. Seshadri who was with the Ministry earlier had prepared a note on banking with Patel. Some years ago, T.T. Krishnamachari (T.T.K.) had once asked the two of them to prepare a draft legislation for nationalizing banks, and Seshdari had kept the only copy.

The three of them worked through the night: Jha and Seshadari at the RBI Governor’s flat in Delhi, and Patel in his house. Patel drafted the Cabinet paper and the Prime Minister’s speech and Jha and Seshadri